Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072
Case 25-G-0073

May 2025

Prepared Direct Testimony of:

New York City Billing Panel

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On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A. Mr. Chang – My name is Brian Chang. I am the Assistant Commissioner of Energy Supply at the New York City Department of Citywide Administrative Services, or DCAS. My business address is One Centre St, 17th Floor, New York, New York.

Mr. Olowu – My name is Lukman Olowu. I am the Director of Energy Budget and Billing for the DCAS Division of Energy Management, or DEM. My business address is One Centre Street, 17th Floor, New York, New York.

Mr. Shabalin – My name is Sergey Shabalin. I am the Senior Director of Utility Revenue Programs and Account Services for the DCAS DEM. My business address is One Centre Street, 17th Floor, New York, New York.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or City.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. Mr. Chang – I graduated from the University of Texas at Austin in 2004 with a Bachelor's degree in Government and from Columbia University in 2009 with a Master's degree in Energy Management and Finance.

Mr. Olowu – I graduated from Ahmadu Bello University in 1995 with a Bachelor's degree in Agricultural Economics and from Baruch College in 2013 with a Master of Business Administration degree.

Mr. Shabalin – I graduated from New York University in 2001 with a Bachelor's degree in Chemistry and from New York Institute of Technology in 2011 with a Master's degree in Energy Management.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE.

A. Mr. Chang – I have been in my current position since September 2022. Prior to assuming my current position, I led energy management initiatives for the Port Authority of New York and New Jersey in the areas of utility energy purchases, energy efficiency, and renewable energy project development.

Mr. Olowu – I have worked for DCAS DEM since 2015 in positions of increasing responsibility. Prior to joining DCAS, I worked for six years in the Human Resources Administration, or HRA, first as a Fraud Investigator, then as a Staff Analyst.

Mr. Shabalin – I have worked for DCAS DEM since 2012 in positions of increasing responsibility. I have been in my current position since May 2024. Prior to joining DCAS, I worked as an energy auditor and project manager at the Community Environmental Center for two years.

Q. PLEASE DESCRIBE YOUR OFFICIAL DUTIES AND RESPONSIBILITIES.

A. Mr. Chang – I oversee the teams responsible for implementing demand response programs and purchasing electric and thermal energy, gas, and fuel oil for all City agencies, cultural institutions, hospitals, schools, and universities. I manage an

annual energy budget of more than $1 billion per year.

Mr. Olowu – My primary responsibility is oversight of energy bill payments, auditing, and energy data reporting. I also develop, administer, and monitor the City's utility energy budget of over $1 billion. I work with City agencies, utility companies, and other energy stakeholders on utility energy matters. I also work with DCAS senior management on energy supply, procurement, tariff, and regulatory matters as they relate to the City's electric, gas and steam portfolio.

Mr. Shabalin – I oversee several teams that work with City agencies supporting and implementing programs across the municipal portfolio of buildings. Programs include demand response, interruptible gas, account and meter services, and energy project incentives where customers receive rebates from entities such as utilities for installing qualifying systems and technologies.

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Mr. Chang – Yes. I testified in the evidentiary hearing for the Consolidated Edison Company of New York, Inc. ("Con Edison") electric and gas rate proceedings in Cases 22-E-0064 and 22-G-0065. I also offered direct testimony in the Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid gas rate proceedings in Cases 23-G-0225 and 23-G-0226.

Mr. Olowu – I offered direct testimony in the Con Edison electric and gas rate

proceedings in Cases 22-E-0064 and 22-G-0065.

Mr. Shabalin – No.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of our testimony is to identify issues the City has experienced with Con Edison with respect to bills and the billing process, generally. We will describe the billing problems the City has experienced and offer recommendations for resolving the problems. These concerns have been persistent, in one form or another, for many years despite prior attempts between the City and Company to resolve them. We believe it is necessary for the Public Service Commission, or Commission, to take formal action or they may never be fully resolved. We also discuss issues that we have had receiving data from Con Edison with respect to the City's participation in demand response programs.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. We are sponsoring Exhibit __(NYCBP-1), which is a compilation of discovery responses we relied upon in preparing our testimony. We are also sponsoring Exhibit __(NYCBP-2), which is a compilation of March 2025 and April 2025 meter reports provided to DCAS by Con Edison, and Exhibit __(NYCBP-3), which is a worksheet showing calculations of the percentage of AMI meters with communication problems.

ESTIMATED BILLS

Q. IN WHAT CAPACITY DOES THE CITY RECEIVE BILLS FROM CON EDISON?

A. DCAS administers thousands of electricity and natural gas accounts on behalf of New York City agencies. For electric service, the City primarily is a customer of the New York Power Authority, or NYPA, and NYPA is a customer of Con Edison. Con Edison bills NYPA for its electricity usage each month, and then NYPA bills the City. The City also has some accounts which are directly billed by Con Edison. For gas service, Con Edison bills DCAS directly for the City's accounts.

Q. DOES THE CITY HAVE ANY CONCERNS WITH RESPECT TO THE BILLS IT RECEIVES FROM NYPA?

A. Yes. While the overall number of estimated bills has declined in recent years reflecting some improvements arising from the deployment of advanced metering infrastructure, or AMI, and data handling, estimated billing continues to occur and remains a source of concern. Even a relatively small number of estimated bills can disrupt the City's ability to accurately track usage, manage budgets, and evaluate energy performance. Given the scale of the City's utility portfolio, these lingering issues continue to have a meaningful impact, and we believe further improvements are necessary.

Q. WHAT IS AN ESTIMATED BILL?

A. It is a bill that is coded as having the charge based on an estimated meter reading.

We do not know whether the meter was actually read.

Q. HOW MANY ESTIMATED BILLS DOES THE CITY RECEIVE EACH MONTH?

A. Over the past year, approximately six percent of the electric bills the City has received have been based on estimated meter readings, while less than four percent of the gas bills have been based on estimated meter readings.

Q. IS THIS AN IMPROVEMENT OVER PRIOR YEARS?

A. Yes. This represents a significant improvement compared to prior years, when estimated bills comprised roughly one-third of all electric and gas bills received by the City. The decline in estimated readings reflects progress in metering infrastructure and coordination efforts. However, given the scale of the City's portfolio, the continuation of estimated bills, particularly for electric service, remains a concern.

Q. DO MOST OF THE ESTIMATED BILLS COME FROM A PARTICULAR CITY AGENCY'S ACCOUNTS?

A. Nearly every City agency for which DCAS manages the utility accounts receives some estimated bills. However, we see the highest number of estimated bills for the New York City Department of Education and the New York City Department of Parks and Recreation.

Q. HOW LONG HAS THIS BEEN AN ISSUE?

A. The City has experienced high volumes of estimated bills for many years,

particularly for electric accounts. While the installation of AMI initially led to only modest improvements, we have seen a more meaningful and sustained reduction in estimated electric meter readings beginning in October 2024. Since that time, the percentage of estimated electric bills has dropped significantly compared to prior months and years. For gas accounts, improvements were seen earlier and have remained relatively consistent. Despite this progress, the persistence of estimated readings, especially on such a large portfolio, continues to pose challenges.

Q. PLEASE ELABORATE.

A. Prior to AMI, the City received estimated bills for a variety of reasons, including Con Edison's inability to access City meters in certain locations and issues coordinating with City agencies to gain access to those meters. Since the Company replaced the City's legacy meters with AMI meters, the problem of estimated billing is now no longer attributable to access issues. Rather, and according to conversations we have had with the Company, most of the issues are with the meters themselves. For electric accounts, there is a separate set of issues with how the data from the meters is transmitted from Con Edison to NYPA and applied by NYPA to the City's accounts.

Q. PLEASE DESCRIBE THE ISSUES WITH THE METERS THEMSELVES.

A. It is our understanding from discussions with the Company that, in some instances, the meters incorrectly measure energy usage. Sometimes they will incorrectly show that an account has not had any usage. Other times, the meters will miss

certain intervals of data, so the usage is underreported. Additionally, we have been informed that communication issues within the meter network can also prevent data from being transmitted correctly, contributing further to estimated billing.

Con Edison shares with us tables showing the status of City meters. These tables show the numbers of AMI and legacy meters, the number of non-commissioned meters, and the communications status of the meters. The reports provided to us in March 2025 and April 2025, which are included in Exhibit __(NYCBP-2), show that the installed meters have a certain level of inherent and recurring problems with communications.

Q. CAN YOU PROVIDE DETAILS REGARDING THE EXTENT OF THE PROBLEMS?

A. Yes. The meter status summary dated March 24, 2025 shows that 2.4 percent of the City's electric accounts and 2.8 percent of the City's gas accounts have some form of communication or service disconnect issues. The meter status summary dated April 28, 2025 shows no improvement in the proportion of electric accounts that were not communicating, while the percentage of gas accounts with communication issues rose slightly to 2.9 percent. We provide our calculations of the percentages of meters with communications problems in our Exhibit __(BP-3).

Q. PLEASE DESCRIBE THE METER COMMUNICATION ISSUES BETWEEN NYPA AND CON EDISON.

A. While we are not aware of the exact issues between the two entities, it is our

understanding from conversations with both Con Edison and NYPA that there are issues with the way the usage data from the AMI meters is communicated from Con Edison to NYPA when a new AMI meter is installed. It is our understanding that the format in which Con Edison transmits the usage data is not compatible with NYPA's system.

Q. HAS THE CITY MADE CON EDISON AWARE OF THE ESTIMATED BILLING ISSUE?

A. Yes. The City has had numerous conversations with Con Edison to alert them to this issue. However, the issue continues to persist.

Q. WHAT ACTIONS, IF ANY, HAS CON EDISON TAKEN TO TRY TO FIX THE PROBLEMS?

A. Where the issues are attributable to the functionality of an AMI meter, the Company has repaired or replaced the meter. Nonetheless, the inherent meter communication issues still persist. However, to our knowledge, the Company has not taken any meaningful action to resolve the communication issues between NYPA and Con Edison.

Q. HAS THE COMPANY REPORTED THESE AMI ISSUES TO THE PUBLIC SERVICE COMMISSION?

A. Not directly. The Company is required to file several reports each year related to billing, including reports on optimization of its AMI system and on the number of estimated and delayed bills that have persisted for several months. The reports give

the impression – wrongly in our view – that there are no significant issues with the AMI roll out or with estimated and delayed billing. There are many problems, and they are not being conveyed in these reports.

Q. CAN YOU PROVIDE A PARTICULAR EXAMPLE OF A PROBLEM YOU HAVE HAD WITH ESTIMATED BILLS FOR AN ELECTRIC ACCOUNT?

A. Yes. For the Department of Education, the City currently has over 100 accounts that are receiving estimated bills. For some of those accounts, we have received estimated bills for more than four and a half years.

Q. DID YOU INFORM THE COMPANY OF THIS ISSUE?

A. Yes.

Q. HOW DID THE COMPANY RESPOND TO THE ISSUE?

A. The Company's response has varied greatly. In some instances when we contacted the Company about the problems, Con Edison took direct action to investigate or address the estimated readings. At other times, the Company indicated that the issue falls under NYPA's responsibility or provided limited follow-up while stating that the matters are still under investigation. In several cases, we have gone months without receiving a substantive update. This inconsistency has made it difficult to resolve recurring billing issues efficiently.

Q. DO YOU HAVE ANY EXAMPLE OF A PROBLEM WITH ESTIMATED READINGS FOR A GAS ACCOUNT?

A. Yes. The Department of Finance experienced a period of elevated estimated gas

readings for one of its accounts. We contacted Con Edison and formally informed them of the issue in June 2023. Despite raising the concern, the issue persisted for an extended period before any resolution efforts were initiated.

Q. HOW DID THE COMPANY RESPOND TO THE ISSUE?

A. In December 2024, Con Edison informed us that they were waiting on voucher approval for bill cancellations related to the estimated readings. As of May 2025, we have not received any further updates or confirmation that the issue has been resolved.

Q. WHAT ARE THE IMPACTS ON THE CITY FROM THE HIGH NUMBER OF ESTIMATED METER READINGS AND BILLS?

A. Estimated meter readings and bills cause several issues for the City with respect to budgeting and cash flow and energy efficiency performance measurement.

Q. PLEASE DESCRIBE THE TYPES OF ISSUES THAT ESTIMATED METER READINGS AND BILLS CAUSE FOR THE CITY WITH RESPECT TO BUDGETING AND CASH FLOW.

A. Billing based on estimated meter readings hinders DCAS's ability to manage and predict the City's operating expenses and fiscal needs. This is because the City budgets are based, in part, on the bills we receive. When the Company issues rebills to correct the estimated bills, the City often receives bills for significant sums comprising the cumulative difference between the estimated and actual readings.

The rebills can create significant cash flow issues if the City needs to pay a large sum unexpectedly.

Q. PLEASE DESCRIBE THE TYPES OF ISSUES THAT ESTIMATED METER READINGS CAUSE WITH RESPECT TO THE CITY'S ENERGY EFFICIENCY PLANS.

The City is committed to leading by example and reducing its energy footprint and making City buildings and facilities use energy more efficiently. In furtherance of these goals, the City has expended significant resources to upgrade many of its buildings. When the City receives bills with estimated readings, it has no way to know its actual energy usage, which significantly hampers the City's ability to gauge opportunities for future improvements or to assess the performance of the measures it has implemented.

Q. TO YOUR KNOWLEDGE, ARE THERE ANY REQUIREMENTS REGARDING ESTIMATED BILLING TO WHICH CON EDISON IS SUBJECT?

A. Yes. We have been informed by our counsel that the Commission has regulations that govern utility estimated billing practices.

Q. PLEASE EXPLAIN.

A. Counsel has advised us that 16 NYCRR Section 13.8 provides the conditions under which Con Edison may issue an estimated bill to non-residential customers. We have read that regulation to understand its provisions and requirements. A utility

may issue an estimated bill under one of eight circumstances.

First, if it is unable to access a meter. Second, where obtaining an actual reading is extremely difficult for reasons beyond the utility's control despite the utility having access to the meter. Third, where the utility has good cause for believing that an actual meter reading or reading by a customer will be erroneous. Fourth, where circumstances beyond the utility's control prevents a meter reader from visiting the meter. Fifth, where an actual reading was lost or destroyed. Sixth, where the Commission has authorized or directed an estimated bill. Seventh, where an estimated reading is the approved method in utility's tariff. Finally, if there was an unmetered condition during the billing period.

Q. HAS THE COMPANY EVER INDICATED TO YOU THAT ONE OR MORE OF THESE CONDITIONS IS THE CAUSE OF THE ESTIMATED BILLS ISSUED FOR CITY ACCOUNTS?

A. No, it has not.

Q. UNDER THE REGULATION, WHAT ACTIONS MUST THE UTILITY UNDERTAKE WHEN IT ISSUES ESTIMATED BILLS?

A. Our counsel has informed us that, in some instances, Con Edison must provide no-access notices to the customer, such as when the Company provided an estimated bill because it could not access the meter. When the notice must be issued depends on the type of account. If Con Edison has issued an estimated bill for two consecutive billing cycles because it believed the actual reading was erroneous,

then it must take corrective action before the next billing cycle. If an estimated bill was issued because the actual reading was lost or destroyed, then the Company must take corrective action after one billing cycle.

Q. FOR WHAT TIME PERIODS HAVE THE ESTIMATED BILLS PERSISTED?

A. It varies. We have some electric and gas accounts that have received estimated bills for over two years. For other electric and gas accounts, we may receive estimated bills for four months or more. For others, an actual reading may occur every few billing cycles.

Q. HAS THE CITY BEEN PROVIDED WITH ANY NO-ACCESS NOTICES FROM THE COMPANY WITH RESPECT TO THE ACCOUNTS THAT HAVE RECEIVED ESTIMATED BILLS?

A. No, it has not.

Q. ARE YOU AWARE THAT AN ESTIMATED BILLING PERFORMANCE METRIC AND ESTIMATED BILLING REPORTING REQUIREMENTS WERE INSTITUTED IN CON EDISON'S LAST RATE CASES?

A. Yes. We were involved in the development of both the performance metric and the reporting requirements, and we have periodically reviewed the reports the Company has filed.

Q. HAVE THESE ACTIONS ADEQUATELY RESOLVED THE PROBLEMS WITH ESTIMATED BILLS?

A. No. There has been some improvement, but we still see many estimated bills each month. It is important to note that the performance metric and reporting requirements apply only to bills that are estimated for a period of at least four months. Therefore, they do not capture the total number of estimated bills issued each month or for several months in a row. Receiving correct bills only once every four months is not reasonable or appropriate.

Q. WHAT DO YOU RECOMMEND?

A. First, the reporting requirements should be modified to require Con Edison to report on the number of estimated bills issued each month, the number issued for two months in a row, three months in a row, and four months or more. Second, the Commission should revise the performance metric to encompass bills that are estimated for three months or more.

Q. WHY IS A TIGHTER PERFORMANCE METRIC APPROPRIATE?

A. Con Edison has advised the Commission and customers that it has installed almost 4.9 million AMI meters, and there are only about 8,300 accounts for which meters have not been installed plus 41,600 accounts for which the customers have opted out of having AMI meters. With this massive penetration of AMI, there should not be any reason why Con Edison needs to estimate bills for any account for more than two months.

Q. DO YOU ACKNOWLEDGE THAT SOME METERS FAIL, OR THAT THERE CAN BE COMMUNICATIONS PROBLEMS WHICH PREVENT CON EDISON FROM RECEIVING ACCURATE AND COMPLETE METER READINGS?

A. Yes, and the Company's reports note that there is a modest failure rate of about 15,000 meters over the course of each year. However, Con Edison was able to install tens of thousands of meters each month, and this failure rate amounts to only 1,250 meters per month on average. It would defy credulity if Con Edison cannot manage to replace or repair 1,250 meters within two months.

UNBILLED ACCOUNTS

Q. PLEASE EXPLAIN WHAT AN UNBILLED ACCOUNT IS.

A. It is an account for which Con Edison has not issued any bill at all or for which all of the usage is not included in the bill. The City has a number of large, high-usage facilities with accounts that are unbilled or underbilled.

Q. HOW OFTEN ARE THE CITY'S ACCOUNTS UNBILLED OR UNDERBILLED?

A. We have multiple unbilled or underbilled accounts on a monthly basis.

Q. WHY ARE THE DELAYS PROBLEMATIC FOR THE CITY?

A. These unbilled or underbilled accounts are problematic for reasons similar to estimated billing. Like estimated bills, each unbilled or underbilled account

impacts the reporting accuracy for the City's energy efficiency and budgeting processes.

Q. HOW MANY UNBILLED ACCOUNTS DOES THE CITY CURRENTLY HAVE WITH CON EDISON?

A. As of May 13, 2025, the City has 90 electric and gas accounts that have not been billed for four months or more. This includes 44 Con Edison gas accounts, six Con Edison electric accounts, and 40 NYPA electric accounts. As an aside, we also have 45 steam accounts that have not been billed for at least four months. While these figures may appear modest relative to the City's overall portfolio, the financial impact is substantial. For example, there is one Con Edison gas account that uses more than one million therms annually and has not been billed since October 2023. Another gas account with multiple meters also has not been billed since October 2023, and we estimate that over one million therms of gas usage on that account have not been billed.

Q. WHAT DO YOU RECOMMEND?

A. The Commission should direct the Company to immediately take action to correct the issues that result in the failure of Con Edison to issue bills for all of the City's accounts. As we do not know why Con Edison is not billing these very large accounts, we cannot offer specific recommendations on how this issue should be rectified. To avoid any confusion as to our recommendation, Con Edison should not simply start estimating usage for these accounts and providing estimated bills.

The Company should be required to identify and correct the root cause of the problem.

RESOLUTION OF BILLING ANOMALIES

Q. WHAT IS A BILLING ANOMALY?

A. A bill can be considered anomalous for many reasons. In some instances, the usage on the bill inexplicably does not match historical patterns for that account. In other instances, the bills do not contain sufficient detail to explain the charges. For purposes of this testimony, we define billing anomalies as bills involving abnormal readings, obviously faulty meters, or excessive estimated reads, which we consider to be accounts with the last meter reading over six months ago.

Q. WHAT TYPES OF ANOMALIES DOES THE CITY SEE?

A. The anomalies relate mostly to errors in usage data. We see issues where the usage is obviously incorrect due perhaps to a faulty meter or whether the Company estimates the usage and uses an excessive estimate.

Q. HOW OFTEN DOES THE CITY RECEIVE ANOMALOUS BILLS?

A. We receive anomalous bills from Con Edison frequently, but not necessarily every month.

Q. IS THIS A NEW PROBLEM?

A. No. We have received anomalous bills for years. We were optimistic that Con Edison's new, very expensive billing system would have eliminated such bills. Unfortunately, it has not.

Q. WHAT ACTIONS DOES THE CITY TAKE WHEN IT RECEIVES AN ANOMALOUS BILL?

A. We first reach out to the City agency responsible for the account to learn whether building conditions could be responsible for the change in usage. For example, it is possible that there was some sort of equipment testing or maintenance that may result in an unusual bill. If this conversation does not identify the source of the anomaly, we inform the Company of the anomaly via email, with an identifier that we create per anomaly. In that email, we describe the anomaly and any other context we may have.

Q. WHAT DOES THE COMPANY DO WHEN IT RECEIVES AN INQUIRY FROM THE CITY?

A. We are not certain what it does. We believe that the Company investigates each situation. Each month, we receive a table that lists all of the pending anomalies.

Q. HOW LONG DOES IT TAKE CON EDISON TO RESOLVE THESE ISSUES?

A. It varies. The City is awaiting responses from Con Edison for approximately 164 billing anomalies. Of these, 79 percent, or about 130 anomalies, have been pending for more than six months. About 25 of the anomalies have been pending since 2023 or earlier. At least six anomalies have remained open with no resolution for six or more years.

Q. WHAT IS THE MOST PREVALENT TYPE OF BILLING ANOMALY?

A. 76 percent of the billing anomalies are related to long-term estimated meter reads. That means Con Edison has provided estimated usage for 125 accounts for at least six months. Given the Company's almost complete transition to AMI meters, we do not understand why the Company cannot base the bills for these accounts on actual meter readings.

Q. IF MOST ANOMALIES RELATED TO ESTIMATED BILLS, ISN'T THIS ISSUE THE SAME AS THE CONCERN YOU PREVIOUSLY DISCUSSED REGARDING CON EDISON'S PROVISION OF ESTIMATED BILLS?

A. No. Our earlier testimony pertained to the need to eliminate estimated bills and rely on actual meter reads. This issue pertains the nature of the estimates, which in many cases do not appear to be consistent with prior actual usage, and the need for improvements in Con Edison's process for responding to our inquires related to these anomalies.

Q. WHAT EXPLANATION HAS CON EDISON PROVIDED FOR THE ANOMALOUS BILLS?

A. That is part of the problem. We cannot get explanations from Con Edison. For many billing anomalies, we do not receive explanations, or even meaningful updates, for many months. In fact, Con Edison has done nothing but acknowledge receipt of about 130 of the unresolved anomalous billing inquiries since 2024. We are seeking assistance from the Commission because of our inability to get answers and Con Edison's unwillingness to talk to us regarding these matters.

Q. HAVE YOU RAISED THIS CONCERN PREVIOUSLY WITH THE COMPANY?

A. Yes. We have raised it both formally and informally. Moreover, we raised this very issue in testimony we submitted in the 2022 rate cases for the same reasons – Con Edison's inability to explain the reasons for the anomalies and unwillingness to provide information to us.

Q. HAS THE CITY SEEN ANY IMPROVEMENT IN THIS ISSUE SINCE THE 2022 RATE CASES?

A. Yes, to some extent, but it remains a significant issue for the City. When we filed our testimony in the 2022 rate cases, there were approximately 190 billing anomalies pending with Con Edison that had been unresolved for at least 60 days, 14 that had been unresolved for at least 90 days, and 174 that had been unresolved for over 180 days. Now, three years later, at least 20 of the billing anomalies we referenced in our 2022 testimony are still pending.

As part of the transition to the new billing system, Con Edison advised us that it had dedicated more people to resolving these and other billing problems. For a short period of time, issues were being resolved and the backlog was shrinking. However, after several months of improvement, Con Edison inexplicably reassigned many of the people we had been working with, and the Company's efforts diminished noticeably. Now, it seems that we are seeing more problems

than before the new billing system was implemented. In other words, the situation is worse, not better.

Q. WHAT DO YOU RECOMMEND?

A. First, the Commission should commence a formal investigation of Con Edison's new billing system and billing practices. The Company should be required to explain why the same billing issues that occurred under the old billing system persist with the new system. The Company also should be required to prove the reasonableness of the actions it has taken to resolve billing issues. There is absolutely no reason why a billing issue should remain pending for more than six years.

Second, the Commission should order Con Edison to provide complete explanations for all anomalous billing inquiries that are more than six months old within one month of the date the Commission sets new rates. The Company has had ample time to address these matters. Because the City has no other option besides Con Edison for electric and gas service, it has no recourse other than the Commission. The Commission should not allow Con Edison to provide erroneous bills and then fail to correct the errors or engage with its customers.

Third, we doubt that our experiences are unique. Since Con Edison cannot or will not fix its billing practices on its own, the Commission must step in and impose billing reforms on Con Edison. The Commission should require Con Edison to develop, file, and implement a corrective action plan that details how it

will resolve all the actions it will take to resolve all pending issues within no more than one month and all future billing issues within no more than two months. The Commission should then require Con Edison to adhere to that plan to give it the force and effect of law.

Fourth, the Commission should require Con Edison to file monthly reports detailing the actions taken and the number of billing issues resolved. Once the backlog of billing issues has been fully resolved, the reporting requirement could be reduced to quarterly, or possibly semiannually if appropriate.

Fifth, in the event Con Edison does not timely resolve the pending billing issues, the Commission should impose financial consequences on the Company. Con Edison executives knowingly reassigned personnel before the backlog was resolved and therefore should be held responsible for such actions. Moreover, since Con Edison will not voluntarily engage with its customers or resolve these billing problems on its own, the Commission needs to provide motivation for the Company to do so. For example, we understand that Con Edison did not make meaningful progress in repairing streetlights or removing temporary shunts until performance metrics were imposed for those activities.

We do not believe perpetual billing problems comport with adequate service, or that the rates the City pays can be considered just or reasonable when the service provided is perpetually deficient. Unless there are real consequences for Con Edison, we fear that the Company will not fix its billing problems.

Q. WHAT IS YOUR RECOMMENDATION AS TO THE FINANCIAL CONSEQUENCES?

A. We believe that a performance metric with negative revenue adjustments should be established. The amount of the adjustment should be meaningful so that it motivates the Company to actually improve its billing practices and timely address billing anomalies. We understand that errors will occur, but Con Edison needs to do a much better job in addressing them. Since this issue has persisted for many years, and because this matter is wholly within the Company's control – and could have and should have been resolved by now – the consequences should be significant. We recommend that if Con Edison fails to meet the deadlines set by the Commission, the consequences should be equal to at least 10 basis points, and perhaps as much as 20 basis points.

SERVICE BILLING MODIFICATION REQUESTS

Q. IN THE 2019 AND 2022 RATE CASES, THE CITY RAISED CONCERNS ABOUT CON EDISON'S TIMELINESS WITH RESPECT TO OPENING AND CLOSING OF ACCOUNTS. DO THOSE PROBLEMS STILL EXIST?

A. Yes. There have been some improvements, but this remains a significant issue for the City. A resolution is needed.

Q. PLEASE DESCRIBE THE CITY'S CONCERNS WITH RESPECT TO THE OPENING AND CLOSING OF ACCOUNTS.

A. The City periodically submits requests to Con Edison to open or close electric or

gas accounts, to transfer an account from one agency to another, or transfer an account from a third party to the City. Collectively, we will refer to these requests as account modifications. In the City's experience, the amount of time that it takes Con Edison to complete an account modification can vary widely.

Q. APPROXIMATELY HOW MANY ACCOUNTS DOES THE CITY MODIFY WITH CON EDISON EACH YEAR?

A. We modify approximately 200 accounts per year. To be clear, the City does not experience issues with every account modification. However, the issue is pervasive enough to warrant corrective action.

Q. HOW DOES THE CITY INITIATE A REQUEST TO MODIFY AN ACCOUNT?

A. The City files a Service Billing Modification Request, or SBMR, electronically with customer service representatives within Con Edison's Corporate Customer Group/Con Edison SBMR Team. The SBMR includes account details such as the location of the account and the customer name.

Q. WHAT HAPPENS AFTER THE COMPANY RECEIVES THE SBMR?

A. The Company responds to the SBMR in one of three ways. Sometimes the Company responds within one to three months stating that the account will be modified as requested, and it then takes appropriate action. On other occasions, the Company will provide the same response, but it will take more than three months before the account modification actually appears on the City's utility bill. In some

instances, we have not received any response from the Company. For reasons that are unclear to us, the Company does not always take steps to inform the City of the additional information needed.

Q. HOW LONG DOES IT TAKE CON EDISON TO OPEN ACCOUNTS?

A. In our experience, it can vary widely. Installations of new meters for new accounts takes longer than any other request. Between 2019 and 2024, Con Edison averaged 347 days per account, or almost a full year, to open 21 new gas accounts involving new meter installations, and 622 days per account, or more than 20 months, to open 66 new electric accounts involving new meter installations.

Q. WHAT DOES THIS TIME PERIOD REPRESENT?

A. We track SBMRs based on the period from the date of submission to the date the request is marked complete in our system following verification by checking the utility bill.

Q. HOW LONG DOES IT TAKE CON EDISON TO TRANSFER A METER OR ACCOUNT TO THE CITY?

A. During the period from 2019 to 2024, we submitted 84 SBMRs to transfer a gas meter from a third party to the City. This occurs, for example, when a City agency leases space formerly occupied by a different tenant. On average, it took Con Edison 193 days, or more than six months, to transfer the account. During the same time period, we submitted 247 SBMRs to transfer an electric meter from a third

party to the City. On average, it took Con Edison 274 days, or about nine months, to transfer the account.

Q. HOW LONG HAS IT TAKEN TO TRANSFER AN ACCOUNT FROM ONE CITY AGENCY TO ANOTHER CITY AGENCY?

A, During the period from 2019 to 2024, we submitted nine SBMRs to transfer a gas account from one City agency to another. On average, it took Con Edison 153 days, or about five months, to transfer the account. During the same time period, we submitted 18 SBMRs to transfer an electric account from one City agency to another. On average, it took Con Edison 443 days, or over 14 months, to transfer the account.

Q. HOW DOES THIS TIMING COMPARE TO THE CITY'S PRIOR EXPERIENCE?

A. Over time, Con Edison's performance has worsened. The City maintains extensive records regarding its dealings with Con Edison. Between 2010 and 2018, adding a new electric meter to a new electric account took, on average, 364 days, significantly less time than over the past five years. Similarly, transferring a meter to a City account took, on average, 142 days, almost half as long as over the past five years.

Q. HOW MANY OUTSTANDING SBMRS DOES THE CITY HAVE WITH THE COMPANY?

A. As of mid-May 2025, the City had 247 open SBMRs with Con Edison.

Q. DO YOU KNOW WHETHER CON EDISON HAS A PROCESS IN PLACE TO TRACK THE SBMRS?

A. Recently, the Company has committed to instituting a process to do so. There have been some early positive outcomes from this process.

Q. HOW LONG DO YOU BELIEVE IT SHOULD TAKE TO PROCESS SBMRS?

A. It depends on the circumstances. Our understanding is that Con Edison has very powerful information technology systems and recently installed a state-of-the-art billing system. Moreover, the Company now has blanket penetration of AMI meters and supposedly the ability to remotely access any individual AMI meter instantaneously. Given these technological advancements, it seems to us that processing our SBMRs and opening, closing, or transferring accounts where the meter is in place should be relatively easy and take no more than a few minutes. If there are still manual actions required, and we do not know why there should be, then processing the SBMRs should take a few days, and certainly no more than a month.

In instances where a new meter must be installed, Con Edison would need to schedule an individual or crew to complete the installation. As shown by the conversion to AMI meters, the Company is capable of installing tens of thousands of meters per month. Therefore, completion of the SBMRs involving new meters

should occur within one month, or no more than two months, given appropriate field conditions.

Q. ARE THERE ANY EXCEPTIONS TO THIS TIMING?

A. Yes. We acknowledge that there are instances when the City requests a new account, but construction or the vagaries of the City's budgeting process cause delays in installing a meter or preparing a site for installing a meter. In those situations, Con Edison is not always the cause of the delays. Our concerns arise from situations where there are no such delays on the part of the City and no good reason for months or years to elapse between the City's initial request and the time an account comes on the City's bill.

Q. HAVE YOU DISCUSSED THESE ISSUES WITH CON EDISON?

A. Yes.

Q. WHAT HAS BEEN THE RESULT OF THOSE DISCUSSIONS?

A. In a recent meeting, the Company agreed to make some improvements to the process, which is a positive and appreciated development. We are optimistic that the improvements will help to resolve the issues we just described. However, we have had many conversations with Con Edison regarding billing issues, and as demonstrated by this testimony, none of our billing issues have been fully resolved. Moreover, the Company's commitments have not been formalized, and there is nothing in place to ensure the improvements are made and are effective. Therefore, while we will continue to engage with the Company and try to resolve our issues

through those discussions, we are not willing to wait another three years to see if the current round of discussions is successful. Instead, we also seek the Commission's intervention as described herein.

Q. WHAT IF THE IMPROVEMENTS CON EDISON COMMITTED TO MAKE RESOLVE THE SBMR ISSUES?

A. Our understanding of the rate case process is that the Commission will not consider this matter until the end of the year, or possibly later. That means the Company has approximately five to six months to implement the improvements and demonstrate real progress towards fixing the problems and resolving the open issues. If that happens, we will gladly rescind our request and advise the Commission that its assistance is no longer needed.

Q. WHAT DO YOU RECOMMEND?

A. If real progress is not made, we have the following recommendations. First, Con Edison must take steps to improve its communications with the City when an SBMR is processed. There should not be any instance in which the Company provides no response. Where the Company wants additional information, it must timely convey to the City the information that should be submitted.

Second, Con Edison must significantly shorten the time to process SBMRs and open, close, or modify accounts. Since we do not know what the Company's internal processes are for these matters, we cannot comment on the changes that

should be made. However, there can be no doubt that changes to the processes are needed.

Third, Con Edison should be required to track and report to the Commission on the time it takes to process requests to open, close, or modify accounts, measured from the date of the initial request to when bills are issued, or cease to be issued, for the accounts. For every instance in which the time period exceeds a set level, such as one month, the reports should state the reason(s) for the delay. Until the backlog of requests is fully resolved, the reports should be filed monthly. Thereafter, the reports should be filed every six months.

Q. WHAT SHOULD THE IMPROVED COMMUNICATIONS ENTAIL?

A. For all SBMR types except "New Account/New Meter" requests, Con Edison should complete processing and acknowledge completion to the City within 10 business days. For "New Account/New Meter" requests, Con Edison should provide feedback on the status of the request within 20 business days initially and monthly thereafter with specifics on any additional information or action required from the City. For aged SBMRs, which we consider to be older than one year from the date of initial submission to Con Edison, Con Edison should provide monthly status updates including any additional information or action required by the City. Such notifications should become a part of the process.

ACCESS TO USAGE AND BILLING DATA

Q. IN THE 2022 RATE CASE, THE CITY RAISED CONCERNS ABOUT RECEIVING BILLING AND USAGE DATA FROM CON EDISON. DO THOSE PROBLEMS STILL EXIST?

A. For the most part, no. We and our aggregator are able to receive the data needed to allow the City to continue to participate in both Con Edison's and the New York Independent System Operator, Inc.'s, or NYISO's, demand response programs. However, a new issue has arisen for which we need the Commission's assistance.

Q. WHAT IS THE NEW ISSUE?

A. We are concerned that we will again lose access to the necessary data, and it could take years to restore that access.

Q. PLEASE EXPLAIN.

A. Participation in the Con Edison and NYISO demand response programs, as well as analyses associated with internal energy management initiatives, require detailed and granular energy consumption data. Because we do not have direct access to the output from Con Edison's meters on City accounts, we must obtain this data from Con Edison. The City has about 7,500 electric and gas meters in Con Edison's service territory, so the data is voluminous. Also, with such a large number of accounts, it would be very inefficient and burdensome, on both the City and Con Edison, if we were to submit individual requests for each meter and account.

Q. HOW WAS THE DATA PROVIDED IF NOT PURSUANT TO INDIVIDUAL REQUESTS?

A. The City initially utilized Con Edison's "My Account" platform, which was designed to allow customers to access their usage data. However, the platform proved to be unworkable for the City's needs due to system limitations. Specifically, it restricts the number of accounts viewable under a single username to approximately 750 accounts, while the City has over 5,500 accounts. In addition, the platform does not support simultaneous access by both DCAS and individual City agencies to manage the full City portfolio, making it impractical for effective energy management and coordination.

As an alternative, Con Edison proposed using an Application Programming Interface, or API, by which Con Edison's computer systems could communicate with DCAS systems. At a high level, the API allows for multiple points of access to the data, and for the exchange of large quantities of data through Con Edison's Share My Data Portal. We understand that Con Edison regularly uses APIs to allow demand response aggregators, energy service companies, and others to access large quantities of customer data through the Share My Data process.

While APIs are used in many industries and for many purposes, developing an API between Con Edison and the City has been a very lengthy and difficult process.

Q. PLEASE ELABORATE ON THE CITY'S EXPERIENCE.

A. Con Edison assigned different teams that do not communicate well with each other or with the City. Our information technology experts believe that the Con Edison system is not automated to the extent necessary, requiring manual intervention. As a result, in the interaction among the Con Edison teams, either coding was lost or errors were introduced.

Fixing those problems has required an extensive commitment of resources by the City and multiple rounds of testing, troubleshooting, diagnosis of problems, development of solutions, and re-testing. When our team identified errors, it took a long time, sometimes months, for Con Edison to fix them. In total, it has taken three years to work through all of the problems and implement a functional API.

Q. HAVE THE ERRORS BEEN FIXED, AND IS THE API NOW WORKING?

A. Yes, the critical errors have been fixed, and the API is currently operational. However, our IT experts have noted that there are still outstanding issues with the system that need to be addressed to ensure long-term stability, full functionality, and ease of use for all City stakeholders.

Q. WHAT IS THE CONCERN NOW?

A. Con Edison informed us that the API would soon be migrated to a new data platform. We are very concerned that we will then need to start over in getting the API to work on the new system, and it could take months or years for the City and its aggregator to timely receive accurate and complete data.

The API has become a key data tool for the City's billing and consumption

validation effort, and for its participation in demand response programs. Direct electronic access to the data, especially for the City and other customers with multiple accounts, is essential to efficiently manage energy use. As an aside, we note that demand response programs are becoming far more important as load increases in New York City. The Commission should take steps to make sure Con Edison is not creating barriers to participation in those programs.

Q. ARE THERE ANY OTHER REASONS WHY YOU ARE CONCERNED?

A. Yes. As we have already discussed, we continue to experience myriad billing problems with Con Edison's information technology platforms. We also experienced problems during Con Edison's migration to the new billing platform. During the migration process, Con Edison claimed in status reports to the Commission that the team was working with "customers." This was misleading as the Con Edison project team's references to customers meant individuals and groups within Con Edison with whom the project team was interacting; they were not references to the utility's actual customers.

While there were some interactions between the project team and the City, they were sporadic and with constantly-changing individuals. Also, the project team shared only subsets of the data that is routinely exchanged between Con Edison and the City. By using limited datasets, the Company was able to portray a better version of the situation than actually existed. In fact, we were so concerned about the nature and extent of the interactions and the billing problems that could

arise because of the poor level of interactions that we asked Department Staff to get involved. It turns out that our concerns were well-founded as we continue to experience many of the same billing problems as arose prior to conversion to the new billing system.

In the case of the billing platform, we understand that the Company initially intended to shut down its existing platform as soon as the new platform became operational. We do not think that actually occurred, and we saw several problems with City billing during the transition. Here, we are very concerned that Con Edison again is not properly considering the needs of its actual customers, as well as the need to make sure that it is able to properly communicate with its customers. We do not want to spend another three years, or even one year, on getting a functioning API in place. Based on our experiences to date, we have little confidence that Con Edison's new API will be fully functional before the existing API – which works – is shut down. Con Edison's inability to provide accurate and timely data would once again cause significant issues for the City, including additional interference with the City's ability to participate in Con Edison's and the NYISO's demand response programs.

Q. IS THE CITY AWARE OF ANY OTHER CUSTOMERS FACING THIS OR SIMILAR ISSUES?

A. The City's aggregator also acts as an aggregator for other public entities enrolled in the NYISO's demand response programs. Our aggregator has told us that its

other public entity clients had similar issues with Con Edison before the API was stabilized.

Q. WHAT ARE YOUR RECOMMENDATIONS REGARDING THIS MATTER?

A. First, the Company should apply all learnings from development and deployment of the current API to the implementation of the new API to ensure customers' ability to timely receive accurate and complete data. Second, Con Edison must dedicate sufficient resources – whether internal, consultants, or both – to the implementation effort and to ensuring that the API is fully functional from both a utility and customer perspective. As discussed above with the billing problems, the Company should not reassign anyone to other projects until the new API is 100 percent functional. Third, Con Edison should be required to provide a clear migration timeline to its customers, as well as frequent updates regarding its adherence, and any changes, to the schedule. Fourth, Con Edison should be required to continue to support the existing API until all data quality, communication, and other issues with the new API are fully resolved. Fifth, Con Edison should be required to identify to the Commission and its customers a senior executive who is fully accountable for this project and to whom inquiries and problems can be raised by customers, and from whom timely and substantive responses are received. That individual also should have the authority to delay the cutover to the new API and to effectuate any corrective actions that may be

required. Finally, once the transition to the new API is complete and before the existing API is shut down, that individual should be required to certify under oath to the Commission that the new API is fully functional from both the Company's and its customers' perspectives and all known issues with the API have been resolved to the satisfaction of its customers.

Q. DO YOU HAVE ANY OTHER RECOMMENDATIONS?

A. Given the Company's recent performance in implementing new information systems, consideration should be given to linking the above recommendations to financial consequences. That is, if Con Edison cannot effectuate a fully functional API within a reasonable amount of time, such as four to six months at most, if Con Edison shuts down or cuts off customer access to its existing API before the new API is functioning properly, and/or if the certification we proposed is found to be incorrect or misleading, a revenue adjustment should be imposed.

Q. WHY DO YOU THINK A REVENUE ADJUSTMENT IS NECESSARY?

A. Con Edison appears to be driven by shareholder earnings, and there are many instances in which desired actions resulted only when performance metrics were imposed. One example is the Company's timely repair of streetlights, which is discussed by City witness Felicia Tunnah. Another set of examples pertains to gas safety, where we understand that the Company's performance improved in direct correlation to its performance metrics. Here, if there are financial consequences for poor or bad performance, there is a much higher likelihood of Con Edison placing

appropriate attention on implementing a new API. Moreover, a performance metric is justified because reliability margins in New York City are getting much tighter, and demand response is becoming a more essential tool for dealing with peak demand. The inability of customers to access their usage data hinders their participation in demand response programs. Con Edison should be incentivized to prevent barriers from arising and to expeditiously eliminate barriers that do arise.

Q. WHAT SHOULD THE FINANCIAL CONSEQUENCES BE?

A. The amount should be meaningful enough to motivate the Company. In this matter, a sliding scale may be most appropriate as it should incentivize the Company to complete the project expeditiously even if there are delays. We think setting the revenue adjustment equal to the cost of project if the Company fails to complete the project in four months, and increasing it by 10 to 15 percent per month for every month of delay thereafter would provide the appropriate motivation. Additional amounts of at least $1 million per month for failure to maintain the existing API and at $1 to $2 million for a fallacious or misleading certification should provide the appropriate motivation for the Company for those items.

UNACCOUNTED FOR ENERGY ALLOCATION ISSUE

Q. HAS THE CITY EXPERIENCED ANY OTHER BILLING ISSUES RELATED TO THE TRANSITION TO AMI?

A. Yes. During the rollout of AMI, Con Edison changed the manner in which it

allocated Unaccounted for Energy, or UFE, which disproportionately affected unmetered accounts.

Q. WHAT DO YOU MEAN BY UNMETERED ACCOUNTS?

A. There are some types of electric accounts for which meters are not used and electric service is measured by other means. For example, there are no meters measuring the electricity used by the City's streetlights and traffic signals. Instead, the amount of electricity used is determined by wattage of the bulbs and the number of hours per day the streetlights are on.

Q. WHAT IS UNACCOUNTED FOR ENERGY?

A. It is our understanding that there is a difference between the amount of energy delivered into Con Edison's system from generating and transmission facilities and the amount used by its customers. For the most part, meters measure both the injections and withdrawals. The difference is called UFE.

Q. DO YOU KNOW THE REASONS FOR THE DIFFERENCES?

A. Not exactly. Our understanding is that some of the energy is not measured due to faulty meters, other energy is stolen directly from distribution cables, and some goes directly to ground because of faulty equipment. There probably are several other reasons for the differences.

Q. WHY IS THE ALLOCATION OF UFE IMPORTANT?

A. Con Edison incurs costs for such energy because it is delivered into Con Edison's system, but the Company cannot identify specific customers to charge for it.

Therefore, it allocates the costs of UFE among all customers. During the rollout of AMI, the Company allocated more of the UFE to unmetered accounts than it had done previously. In 2023, the Company revised its methodology again to more equitably allocate UFE costs.

Q. WHAT WAS THE EFFECT OF THE REALLOCATION DURING THE AMI ROLLOUT?

A. The zonal coincident demand for the City's unmetered account was significantly inflated. In other words, more capacity was assigned to this account than had occurred previously, and more capacity costs were correspondingly charged to that account. In 2019 to 2020, we calculated that the zonal coincident demand for that account was about 7.15 MW. In 2020-2021, it increased to 11.14 MW. In 2022-2023, it further increased to 17.3 MW. Then, with the new methodology in 2023-2024, it dropped down to 5.5 MW.

It is important to recognize that these unmetered accounts are comprised predominantly of streetlights and traffic signals. While some replacements occur each year, the total number of streetlight and traffic signals did not materially change, nor did their manner of operation or total energy usage. Therefore, there is no rationality to the substantial increase in their zonal coincident demand during the AMI rollout. The flaws in the Company's approach are also revealed by the significant reduction in the demand in 2023 to 2024.

Q. WHAT WAS THE FINANCIAL IMPACT OF THIS TREATMENT OF UFE?

A. The amounts charged to the New York City Department of Transportation for streetlights and traffic signals increased by over 55 percent between 2020 and 2024.

Q. HOW DID THIS INCREASE COMPARE TO THE AMOUNT OF ELECTRICITY USED DURING THE SAME PERIOD?

A. During the same time period, the demand in this account increased by about three percent, and the electricity used increased by about 4.7 percent. We recognize that there are several factors which contributed to the increased cost, including annual rate increased that had been approved by the Public Service Commission. However, the cumulative rate increases were far lower than 55 percent.

Q. THE PANEL DISCUSSED PREVIOUSLY THAT THE CITY IS A NYPA CUSTOMER, AND CON EDISON CHARGES A LUMP SUM AMOUNT TO NYPA WHICH NYPA THEN ALLOCATES AMONGST ITS GOVERNMENTAL CUSTOMERS. GIVEN THAT, HOW IS THIS A CON EDISON ISSUE?

A. While the City receives its electric bills from NYPA, the City receives electric service from Con Edison, and its usage is measured by Con Edison meters and/or Con Edison practices, procedures, and methodologies. Here, NYPA did not independently determine the amount of energy or demand attributable to streetlights and traffic signals; it obtained that information from Con Edison. It was

Con Edison, not NYPA, which allocated the UFE. NYPA allocates the amount it is charged each month by Con Edison to its governmental customers based on the usage data provided by Con Edison. Therefore, that the City is a NYPA customer is irrelevant for this issue.

Q. WHAT IS YOUR PURPOSE IN RAISING THIS ISSUE HERE?

A. The Public Service Commission should be aware that the transition to AMI was not without problems, and the impact on some customers was significant. While we are not seeking relief from this unreasonable allocation of UFE to unmetered accounts, we would like the Commission to impose conditions or requirements on Con Edison to prevent this situation from recurring.

Q. WHAT DO YOU RECOMMEND?

A. Going forward, the Company should be required to disclose all proposed reallocations of UFE – or of any other costs – to the Commission and to all parties which participated in its most recent rate case, and it should be required to make this disclosure at least 60 days in advance so that parties have an opportunity to review and comment on the proposed changes, and the Commission and/or Department Staff have an opportunity to review the changes and confirm that they are fair and equitable to all customers. As part of this disclosure, the Company should be required to provide sample calculations showing the impact of the proposed change on each rate class.

Q. IS THIS RECOMMENDATION LIMITED TO CHANGES TO UFE?

A. No. Within the Company's gas business, the equivalent of UFE is called Lost and Unaccounted For, or LAUF, gas. To the extent the Company seeks to reallocate LAUF gas among its gas rate classes, similar requirements as we just discussed should be imposed to allow customers and the Commission to understand the consequences of the change and to provide the same review opportunities.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.